Table 55.8 Performance and Failures Over Time for Bull Markets

Description	Bull Market
1990s	54%
2000s	59%
2010s	42%
Performance (above), Failures (below)	
1990s	3%
2000s	4%
2010s	5%

Rising/Falling volume. Bear market results favor a rising volume trend, but bull markets have no preference.

Breakout day volume. When breakout volume was below the 30-day average in bear markets, rounding bottoms outperformed. The bull market shows patterns with heavy breakout volume doing slightly better.

Table 55.7 shows how often price reaches a stop location. Because rounding bottoms are so tall, it will be rare that a stop-loss order placed at the bottom or even halfway down the pattern will be hit.

If you choose to use either of those locations (middle or bottom) for stop placement, then convert the potential loss into a percentage of the current price. If the result is large, then consider moving the stop. Normally I'd tell you to look for a more promising trade, but rounding bottoms have superb performance. You might try a volatility stop instead. See the Glossary for details.

Table 55.8 shows performance over time. I'll admit that I was curious to see if performance of this pattern would sustain itself over the decades. Incidentally, the 2000s had the only bear markets (two of them), so I don't include the statistics for them.

Performance over time. The 2010s show performance dwindling compared to the other two decades.

Failures over time. Failures have been creeping up over the last 30 years, but they still remain low. In this case, I'm looking at 5% failures, which is to